

Verdant Health Advisory LLC

www.verdanthealthadvisory.com

July 25, 2020

Angela Mahoney
General Manager
Johnson, Cross and Gibbs

Dear Ms. Mahoney,

This letter sets out the terms on which we will carry out a service line assessment for Johnson, Cross and Gibbs, and I am glad to be putting them in writing, because a shared understanding of the work is worth as much at the outset as any finding we will hand you at the end. What follows describes the scope we have agreed, the people who will do the work, the fee and when it begins, and the standard terms we both sign up to. If any part of it reads differently from the conversation we had, please say so before you countersign, so that the document we both hold to is the same one.

The work we have agreed

The assessment looks at your service lines and asks a plain question of each of them, which is whether it earns its keep once its true costs are set honestly against what it actually brings in. We will build that picture from your own cost accounting and volumes rather than from national benchmarks alone, because a line that looks marginal against an outside figure often looks quite different once its local economics are laid out in full. Where a line's performance turns on how physician effort is compensated, or on where the revenue cycle is losing what the line has already earned, we will follow the question into those areas rather than stop at the edge of the ledger.

Our habit is to lead with what the numbers support and to label a recommendation as a recommendation rather than dress it up as a finding, and you should expect that discipline from us throughout. Nothing we put in front of you will assert a conclusion the analysis has not earned, and where the evidence is genuinely mixed we will tell you so plainly instead of resolving it for the sake of a cleaner page. That is slower in a given week, and it is the only way we know to produce work that holds up when someone outside the room reads it closely.

Who will do the work

Daniel Alvarado, our Senior Consultant, will lead the assessment day to day and will be your point of contact for anything of substance, and he is the person who will reconcile your cost accounting until each line finally tells the truth. Susan Clark, a Principal in our advisory practice, will take up any question that touches physician compensation, and she is careful with fair-market-value language precisely because she reaches for it only where the analysis has earned it. Patricia Moore, an Analyst with us, will carry the revenue-cycle work, following a denied claim through every handoff that touched it, and she is often the one who asks the question the rest of us had assumed was already answered.

I will not run the work week to week, but I read everything before it reaches you, and I am reachable directly if the assessment is not going the way you expected. If that ever becomes your concern, I would ask you to call me rather than wait for the next scheduled update.

Fee and when we begin

Our fee for the assessment is \$53,000, fixed at the outset so that neither of us has to reopen the commercial question once the work is under way. We expect the assessment to run roughly seven months from commencement, and the work begins on August 4, 2020. The terms below set out how that fee is billed and the small number of protections we each carry.

Fees and payment

The fixed fee is billed in equal monthly installments across the term of the assessment, the first on your countersignature and the commencement of the work and the remainder on the same day of each month thereafter, without regard to the particular stage the assessment has reached in any given month. Reasonable and documented out-of-pocket costs, meaning travel to your sites and any external data or verification you ask us to commission, are billed at cost as incurred and itemized on each invoice. Invoices are payable within thirty days of receipt.

Term and termination

The engagement runs from the commencement date named above until we deliver the completed assessment, and either of us may end it earlier on thirty days' written notice. If you end it, you owe the installments that have fallen due as of that date together with the costs incurred to that point, and nothing beyond them. If we end it, which we would do only if the work as defined had become one we could not complete honestly, we will return any amount paid for work not yet performed.

Confidentiality

The information you will open to us, your cost accounting, your compensation arrangements, and the operating detail beneath them, is confidential, and we will use it only for this assessment and disclose it to no one outside the team named above without your agreement. We ask the same of you for the analysis and working materials we provide, which are yours to use inside your organization for the decisions this work is meant to inform and are not for wider circulation. Because some of what we examine touches physician compensation, we will handle that material with the added care its sensitivity deserves.

Limitation of liability

We will carry out the assessment with the care and skill customary in our profession, and we will tell you what the evidence supports, but the decisions that follow from it are yours to make and we do not warrant their outcome. The analysis rests on the completeness and accuracy of the data you provide us, and while we will test what can reasonably be tested and flag what we cannot, we do not independently audit your books. Our aggregate liability under this engagement, on any theory, is limited to the fees actually paid to us for it, and neither of us is liable to the other for indirect or consequential loss, save that nothing here limits liability for our own fraud or willful misconduct.

Governing law

This letter is the whole of our agreement on this assessment and supersedes anything said or drafted before it, and it is governed by the law of the state in which our firm keeps its principal office, without regard to its conflict-of-laws rules. Any dispute we cannot settle between ourselves belongs to the courts sitting in that state, and any change to these terms is effective only in writing signed by us both.

If this reflects our agreement

If this letter matches what we agreed, please countersign where indicated and return a copy to me, and Daniel Alvarado will be in touch within the week to arrange the intake session and the first data request. I would ask that you bring the people who own the service-line and revenue-cycle numbers *into that first session together*, because the work goes faster and lands better when everyone who holds a piece of the picture hears the same questions at the same time.

We are glad you asked us to take this on, and we will give it the care it deserves.

With kind regards,

Laura Brown

Managing Partner

Date: July 25, 2020

Angela Mahoney

General Manager, Johnson, Cross and Gibbs

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